

M Archy, Second Time Right

A gated scale-up strategy for ArchIQ - and the franchise economics that actually decide it

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01 · DIAGNOSIS

IBM did not fail at AI. It failed at operational design - and a five-store pilot repeats the opposite mistake.

THE ROAD TO ARCHIQ - SEVEN YEARS, TWO BETS, ONE PUBLIC EXIT

2019

Apprente acquired, becomes McD Tech Labs

2021

Tech Labs sold to IBM; AOT partnership begins

2021-24

100+ lanes tested; accuracy stalls at 80-83% vs 95% target

Dec 2023

Google Cloud partnership signed across the estate

Jun 2024

IBM partnership ends; failure clips go viral

Jun 2026

ArchIQ pilot - 5 stores, reaction largely negative

THE DRIVE-THRU ORDER JOURNEY - WHERE IT BREAKS, STEP BY STEP

ARRIVE & QUEUE

No cue that the order taker is AI. Expectation set wrong before a word is spoken.

SPEAK ORDER

Engine noise, passengers, accents. Input quality is worst exactly where volume is highest.

AI INTERPRETS

80-83% intent accuracy. Combos, kids meals and seasonal LTOs are the failure tail.

CONFIRM & CORRECT

THE BREAK POINT - correction loops with no human exit. The customer absorbs the failure, in public.

KITCHEN / KDS

Wrong item enters the make-line. Remake cost and lane time compound the error.

PAY & PICKUP

Order wrong at the window. Recovery is manual, slow, and filmable.

ROOT CAUSE - FIVE LENSES, NOT ONE

TECHNOLOGY

80-83% intent accuracy against a 95% target. Ambient noise, accent diversity, mid-order corrections and combo / kids-meal permutations were never solved.

PROCESS

No designed fallback. When the model failed, the customer absorbed it - at the speaker post, in public, with no human exit to escape to.

PEOPLE

Crew were trained on the hardware, not on the exception. There was no takeover script, and nobody owned the recovery moment.

BUSINESS

No published accuracy gate, no per-store ROI case, no answer to "who pays." 100+ stores were committed before proof existed.

PERCEPTION

TikTok turned a QA problem into a brand problem. The failure narrative outran the fix cycle by roughly two years.

WHAT MATERIALLY CHANGED, 2024 → 2026

MODEL

Intent-slot NLU

LLM speech-to-intent

EXPECTATION

Voice AI = IVR pain

Post-ChatGPT tolerance

CATEGORY

Nobody at scale

Wendy's + CKE in production

VENDOR

Bespoke IBM build

Google Cloud already live

REGULATORY

Claims unpoliced

SEC action vs Presto

THE ACCURACY GAP - AND THE GATE THAT CLOSSES IT

IBM actual, 2024

82%

The number that ended the partnership

ArchIQ gate (proposed)

85%

Our Phase 1 threshold to scale

McDonald's stated target

95%

The bar the programme was set against

85% is not a softened target - it is the point where the per-store unit economics turn positive. Below it, payback falls outside the 12-month ROI guarantee. See slide 02.

WHO IS ACTUALLY LIVE - McDONALD'S IS LAST

Wendy's · Google FreshAI

500+

Taco Bell / Yum! · in-house

500+

CKE · SoundHound AI

200+

McDonald's · ArchIQ

5

Approximate live AI drive-thru locations. Order of magnitude, not audited counts.

THE PILOT PARADOX - BOTH SKIP THE SAME STEP

IBM / AOT 2021-24

100+ lanes - scaled before proof

ArchIQ 2026

5 lanes - too small to produce proof

Neither attempt published what "good enough" means before spending. One scaled before proof existed; the other is too small to generate any. That, not the model, is the repeated error.

THE PRESTO TRAP - INVERT IT

THE EVENT

The SEC charged Presto after filings revealed that Philippines-based human agents, not AI, were handling most of its "AI" drive-thru orders.

THE EXPOSURE

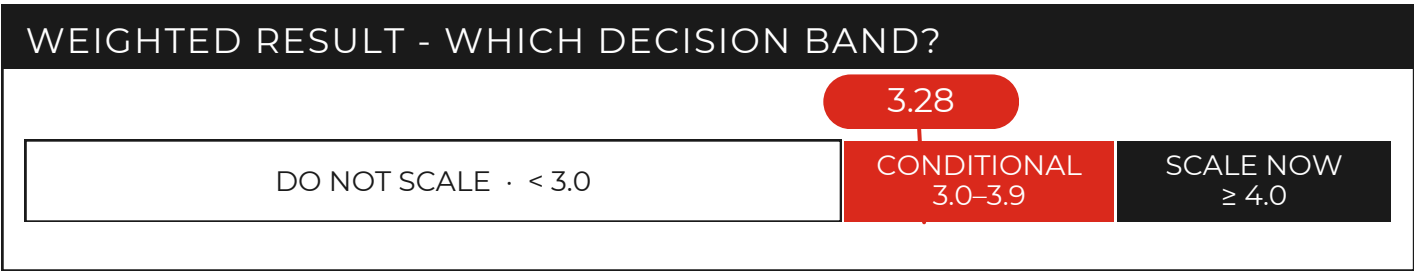
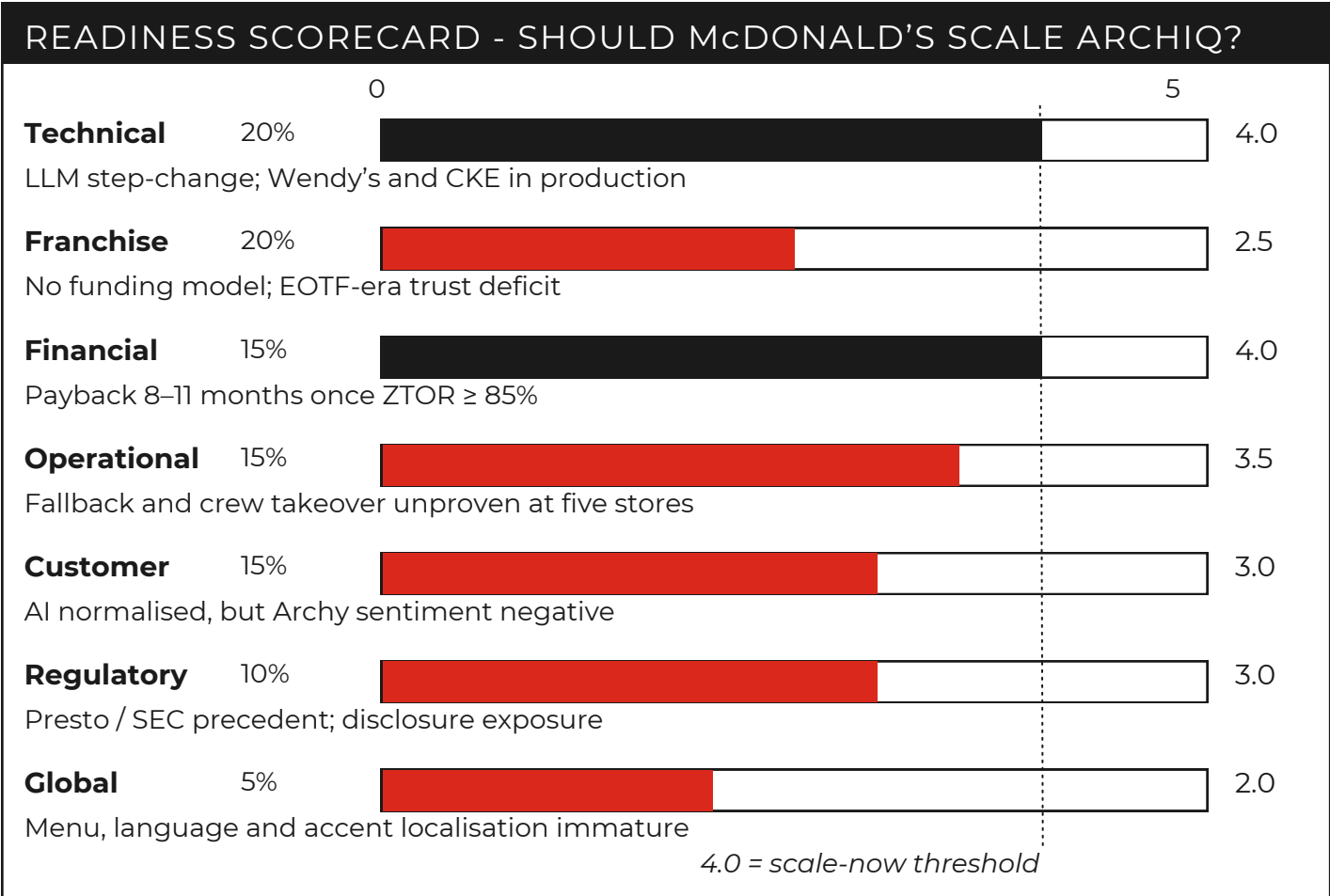
Any human-in-the-loop design must now be disclosed, not concealed. Marketing language becomes a securities-disclosure question, not merely a PR one.

THE INVERSION

Only McDonald's has the estate and the scrutiny to make published accuracy an asset. No competitor under SEC review can afford to go first.

02 · DECISION

Conditional Scale - 3.28 / 5 on a weighted readiness test, where the two weakest dimensions become the workstreams.

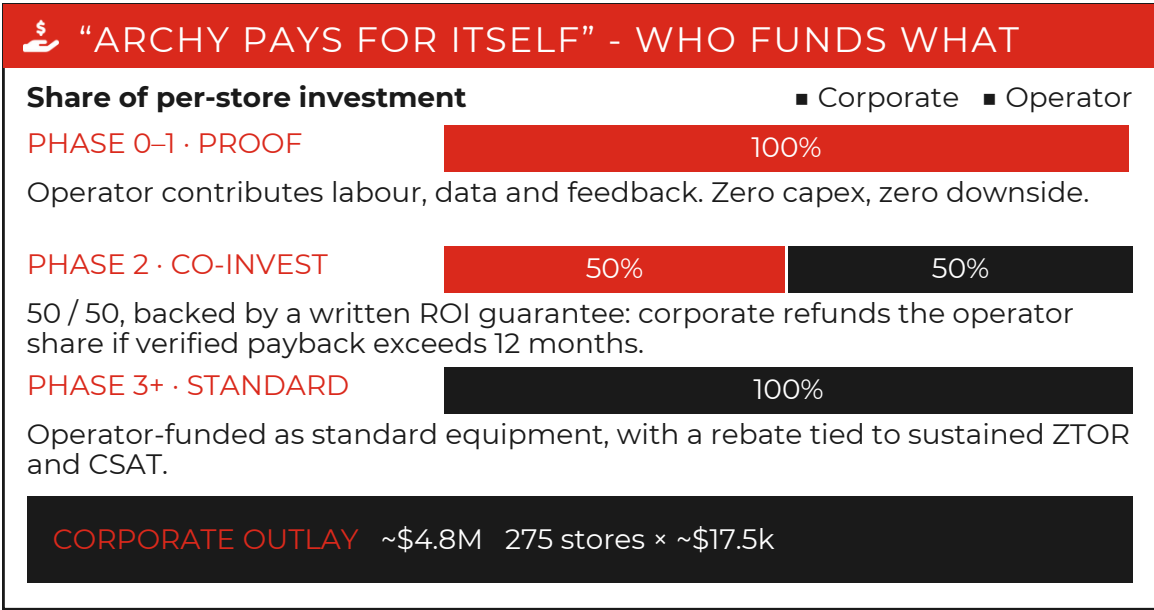
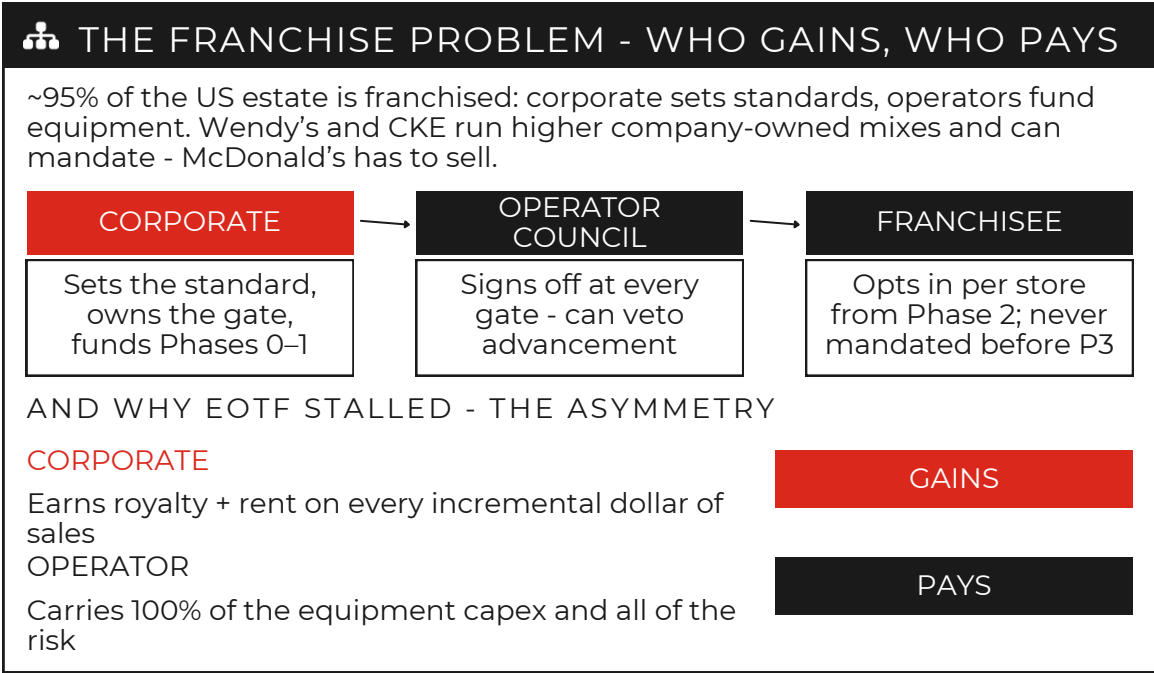


VERDICT

Proceed - with capital discipline.

Scale ArchIQ, but commit no franchisee capital and no store outside Tier A until a Zero-Touch Order Rate of 85% is independently verified and published.

A 3.28 does not mean “wait.” It means the two weak dimensions - franchise (2.5) and global (2.0) -are funded as explicit workstreams rather than treated as blockers. Everything on slide 03 exists to move those two numbers.



- INTEGRATION PATH - CORPORATE TO LANE
- 01

Corporate approves the standard and releases the phase tranche
- 02

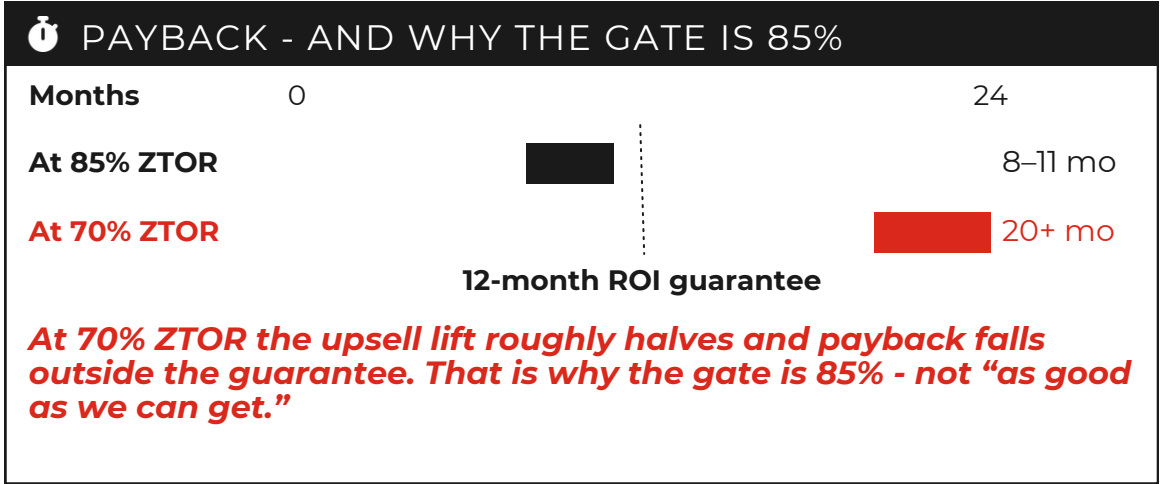
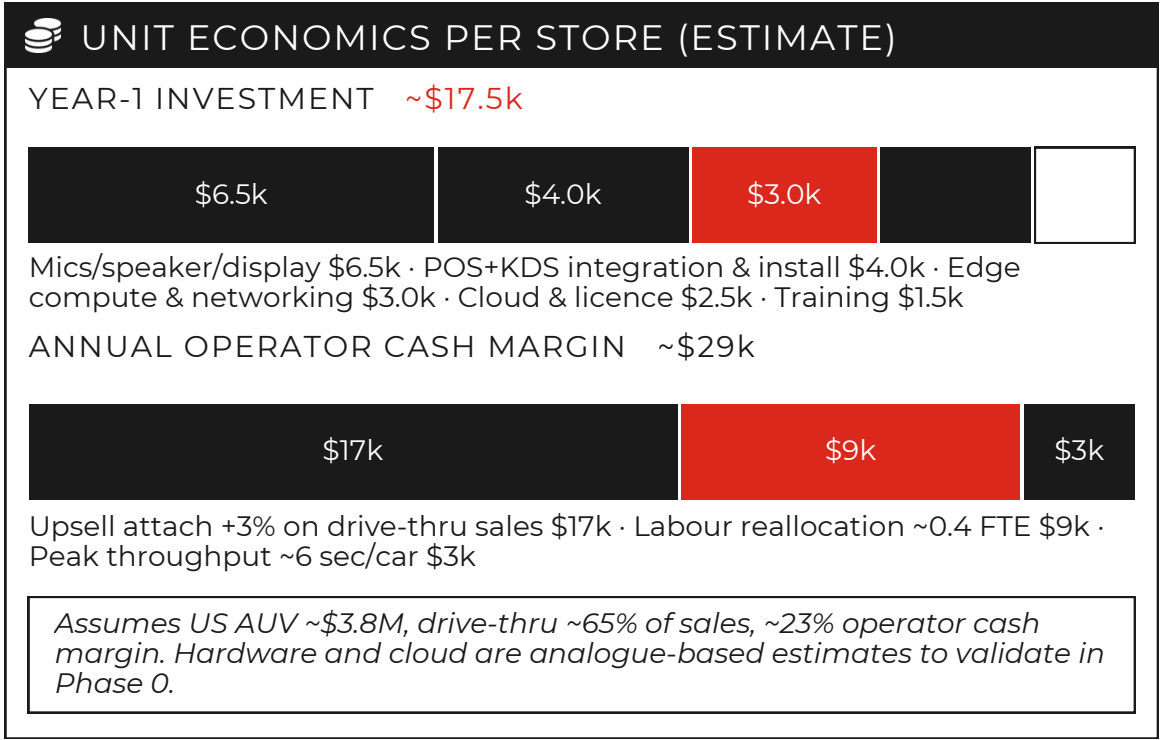
Operator council signs off the gate criteria before any install
- 03

Store survey - acoustic and menu-complexity tier assigned
- 04

Install overnight in 2 days; no closure, no lost trading day
- 05

Crew training plus a 2-week shadow period with human override
- 06

Go live - weekly ZTOR report to the operator from day one



ROLL OUT BY COMPLEXITY TIER, NOT GEOGRAPHY

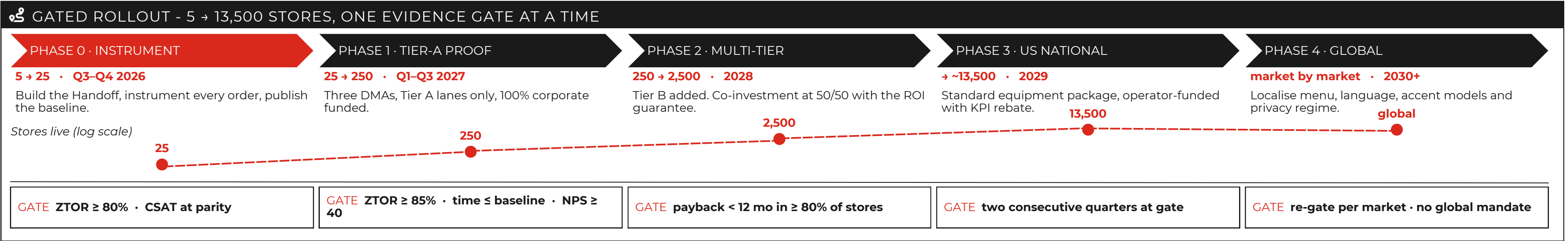
Accuracy fails as a function of acoustics and order complexity - not postcode. Tiering makes the first 250 stores a fair test, not a stress test of the worst lanes.

	TIER A 35%	TIER B 45%	TIER C 20%
TIER A	Suburban, low ambient noise, stable menu, moderate peaks.	Deploy first	
TIER B	Urban, higher noise and order complexity, promo-heavy.	After Tier A gate	
TIER C	Airports, highways, dense urban, high accent diversity.	Human-assist	

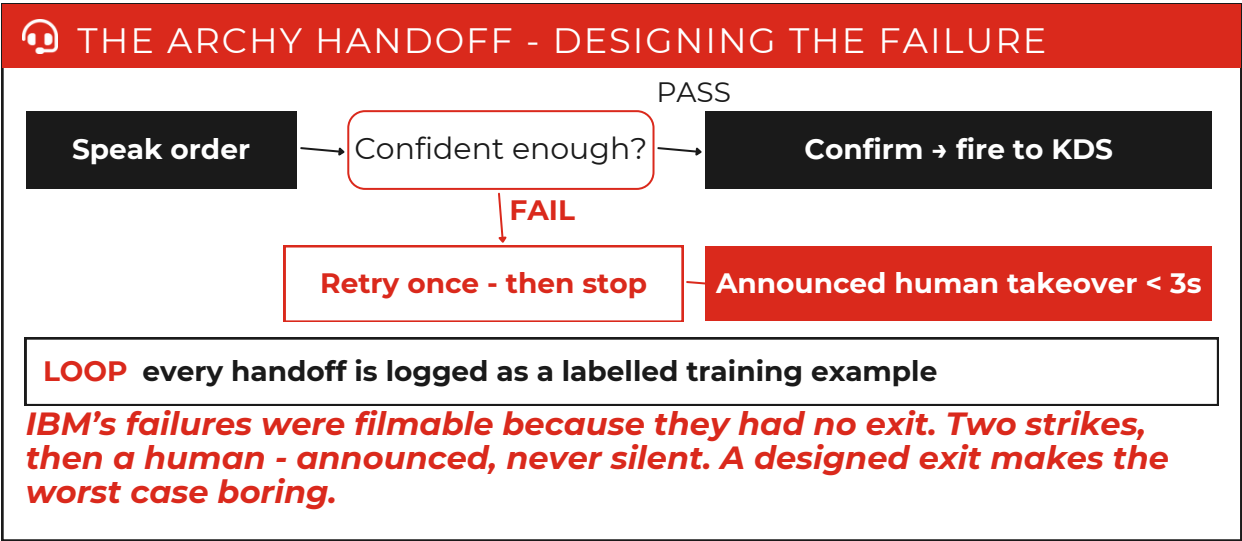
SO WHAT Do not ask franchisees to fund a promise. Corporate funds the proof; operators fund the proven - and an 85% Zero-Touch Order Rate is what converts one into the other.

03 · ROLLOUT

Five gated phases, one published standard - plus a parallel track that pays even if the gate never opens.



KILL SWITCH Any gate missed twice consecutively freezes the phase and reallocates the capital to the parallel track - published in advance to franchisees and the board. A gate nobody can quietly move is the only kind that rebuilds credibility.



TECHNOLOGY STACK - AND THE VENDOR EXIT

LANE	Mic array, speaker, outdoor display
EDGE	On-lane inference - the store keeps trading if the cloud drops
CLOUD	Google Cloud, Gemini-class speech-to-intent SWAPPABLE LAYER
SYSTEMS	POS · KDS · app identity · crew console · observability

LOCK-IN CONTROL: abstract the speech layer so a successor vendor can be swapped without re-platforming - the dependency that made the IBM exit so public.

RISK REGISTER

RISK	MITIGATION
Accuracy plateaus as in 2024	Tiered rollout, published gate, kill switch
Operator resistance on capex	Zero capex to proof; ROI guarantee; council veto
SEC / FTC exposure on claims	Disclose human-in-loop; no “autonomous” language
Viral failure clip	Two-strike Handoff; brand owns rapid response
Vendor lock-in	Abstracted speech layer; contractual exit
Job-loss narrative	Redeploy not reduce - stated publicly, then measured
Localisation debt at Phase 4	Re-gate per market; no global mandate, ever

METRICS - THE STANDARD McDONALD'S PUBLISHES

NORTH STAR · THE ONE NUMBER

Zero-Touch Order Rate

Orders completed with no human intervention and no post-order correction ÷ total AI-handled orders

≥ 85%

Phase 1 gate - governs every phase, and every dollar

≥ 96%

Order accuracy

Orders delivered exactly as intended ÷ total orders

≤ 0 sec

Service time Δ

AI lane average - human lane baseline

+3%

Upsell lift

(AI AOV - control AOV) ÷ control AOV

< 12 mo

Operator payback

Per-store investment ÷ monthly incremental margin

TRANSPARENCY CHARTER These five numbers are published quarterly - to franchisees, to the board, and publicly. Nobody can quietly move a gate that is already on the record, and no competitor under SEC scrutiny can copy it.

IF THE GATE NEVER OPENS - THE PARALLEL TRACK

Run from day one, independent of ArchIQ. Higher ROI certainty, zero customer-facing risk.

Demand forecasting and auto-scheduling

- labour is the largest controllable line

Predictive maintenance on fryers, grills, shake machines

- downtime is directly lost sales

Computer-vision accuracy check at assembly

- fixes wrong orders without touching the lane

Inventory and waste optimisation

- plus dynamic menu boards by daypart and stock

The AI programme must not be hostage to the drive-thru. If ArchIQ misses its gate, McDonald's still books the operational return.

SO WHAT Publish the standard before the rollout. A gate McDonald's announces in advance is the only credible answer to a failure the public already watched once.